CASCADE SUPPLY CO.

Operations Performance Analysis

Business Insights & Management Recommendations

REPORTING PERIOD	ORDERS	REVENUE	CUSTOMERS	PRODUCTS
Jan 2025 - Aug 2026	6,245	$4.08M	120	38

Executive Summary

Analysis of Cascade Supply Co. order data identified six management priorities spanning customer retention, regional growth, fulfillment reliability, channel mix, cancellations, and product returns. The most urgent issues are the sharp decline in Northstar Health Systems purchasing activity and persistent delivery underperformance in the South region. At the same time, the Northeast region is showing meaningful revenue acceleration and the company's sales mix is shifting toward online purchasing.

Management priorities: protect the Northstar relationship; diagnose South-region fulfillment and cancellation issues; investigate Technology returns; understand Northeast growth drivers; and evaluate the strategic implications of the shift toward Online sales.

Key Findings

1. Northstar Health Systems - Customer Retention Risk

Finding: Northstar Health Systems, Cascade Supply Co.'s highest-revenue customer over the reporting period, experienced a sharp decline in purchasing activity after March 2026.

Evidence: Northstar generated approximately $239.6K in revenue over the full reporting period. In March 2026 alone, it generated about $21.5K across 15 orders. From April through August 2026, Northstar placed only 6 orders totaling approximately $7.8K. Average monthly revenue fell from roughly $15.5K before April to $1.6K afterward - a decline of about 90%.

Business Impact: Because Northstar has historically been Cascade's largest customer, a sustained reduction in purchasing activity creates meaningful revenue-retention risk and could materially affect future sales.

Recommendation: Account management should contact Northstar to determine whether the decline reflects service issues, changing business needs, budget changes, competitive loss, or another cause. A targeted retention plan should be developed based on the findings.

2. Northeast Region - Recent Revenue Acceleration

Finding: The Northeast region has shown substantial revenue acceleration during 2026 and became Cascade's highest-revenue region in each of the most recent three months.

Evidence: Northeast monthly revenue increased from approximately $34.8K in January 2026 to $76.6K in June, $76.1K in July, and $70.6K in August. Revenue for June-August totaled approximately $223.4K, compared with $125.7K during January-March - an increase of about 78%.

Business Impact: The recent acceleration represents an important source of company growth and may reveal customer, product, or sales practices that could support performance elsewhere.

Recommendation: Management should identify the factors driving Northeast growth - such as customer segment, product mix, account activity, or sales channel - before deciding which practices can be replicated in other regions.

3. South Region - Significant Delivery Performance Gap

Finding: The South region has a materially lower on-time delivery rate than the rest of the company, and the gap became substantially worse in 2026.

Evidence: Across the full reporting period, South achieved 84.3% on-time delivery. In 2026, that fell to 76.7%, compared with 86.1% for the next-lowest region - a gap of about 9.5 percentage points. South also handled the highest 2026 order volume, with 775 orders.

Business Impact: Persistent delivery delays in the company's highest-volume region can increase customer dissatisfaction, service workload, and retention risk.

Recommendation: Operations should investigate South-region performance by shipping method, internal processing time, carrier performance, and delivery location to isolate the source of the service gap and implement targeted corrective actions.

4. Sales Mix - Shift Toward the Online Channel

Finding: Cascade's sales mix is shifting significantly toward the Online channel.

Evidence: Comparing January-August year over year, Online increased from approximately 35.4% of revenue in 2025 to 49.6% in 2026. During the same period, Sales Rep revenue share declined from about 44.4% to 33.1%. Online also increased from approximately 34.2% to 47.4% of order volume.

Business Impact: The company is becoming increasingly dependent on its online channel, which may change where Cascade should prioritize digital customer experience, marketing, platform reliability, and sales resources.

Recommendation: Management should investigate what is driving the shift toward online purchasing and determine whether it reflects customer preference, digital improvements, pricing, or changes in account behavior. Sales-rep performance should continue to be monitored, particularly for Enterprise accounts.

5. Spring 2026 - Cancellation Spike Concentrated in the South

Finding: Order cancellations increased sharply during April and May 2026, with the South region accounting for the most pronounced deterioration.

Evidence: Company-wide cancellation rate increased to approximately 6.6% in April and 6.0% in May, compared with roughly 1-3% in the preceding months. South reached 8.0% in April and 11.1% in May, then improved to about 1.0% in July and 2.1% in August.

Business Impact: The temporary spike suggests a discrete operational or demand-management issue rather than a permanent company-wide condition. Identifying the cause can help prevent a similar recurrence.

Recommendation: Review South-region activity during April-May for inventory shortages, fulfillment constraints, order-entry issues, staffing conditions, customer cancellations, or other events that could explain the spike. Establish controls or alerts for the identified cause.

6. Returns - Technology and Transit Damage

Finding: Damage in transit is the largest single reason for returns, while Technology products account for a disproportionate share of total returned product lines.

Evidence: Of 329 returned product lines, 98 (29.8%) were attributed to damage in transit. Technology accounted for 46 of those 98 damaged returns (46.9%) and had an overall return rate of approximately 8.5%, compared with 3.7% for Furniture and 2.1% or less for the remaining categories.

Business Impact: Elevated returns create replacement or refund costs, additional customer-service workload, and potential customer dissatisfaction. The concentration within Technology provides a focused opportunity for corrective action.

Recommendation: Investigate Technology returns by individual product, packaging method, carrier, and damage type. If common patterns are found, test packaging improvements or carrier-handling changes before applying broader process changes.

Recommended Management Focus

Priority	Focus	Management Action
1	**Protect key-account revenue**	Prioritize Northstar retention outreach and determine the reason for the purchasing decline.
2	**Stabilize South-region fulfillment**	Treat delivery reliability and the spring cancellation spike as a focused operational investigation.
3	**Reduce preventable returns**	Start with Technology products and transit damage, where return exposure is most concentrated.
4	**Learn from growth signals**	Identify the drivers behind Northeast acceleration and determine whether they are repeatable.
5	**Plan for channel change**	Assess the operational and commercial implications of Online becoming the dominant sales channel.

Scope & Method

Source: simulated Cascade Supply Co. order data covering January 2025 through August 2026 (10,619 product-line records, 6,245 distinct orders, 120 customers, and 38 products). Tableau was used to analyze revenue, customer behavior, sales channels, fulfillment, cancellations, and returns. Findings identify investigation priorities rather than causal conclusions and should be validated with operational context before action is taken.